The importance of strategic analysis for agricultural holdings in the innovative development of the agricultural sector

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ABSTRACT

Achieving macroeconomic stability and sustainable economic growth in Russia is directly dependent on the efficiency of economic activities and strategic stability of individual enterprises. At the same time, the rapid development and variability of the external business environment and the conditions of severe market competition require modern progressive approaches to management and its information and analytical support, which make it possible to make high-quality strategic management decisions. Based on it, the analysis of economic activity, which is the basis for justifying economic decisions, has a strategic orientation.

The task of strategic analysis of the market environment for agricultural enterprises is to provide a meaningful and formal description of the main market elements, identify their features, patterns and trends of development, and the degree of influence on the activities of the manufacturer.

In our opinion, the strategic analysis of the market environment of agricultural enterprises should first of all determine the main factors that affect the development of the territorial market of food products as a whole. Despite the fact that the market of agricultural and food products in our country is characterized by very intensive development, it is still far from perfect. The purpose of this article is to specify the problem in the cancers of one enterprise and develop a strategic map of the balanced indicators system for an agricultural organization. The main task is to optimize the system of strategic analysis for agricultural enterprises.

The novelty of the work is the application of balanced scorecard methods as an element of strategic analysis for managing an agricultural organization.

CCS CONCEPTS

• Information systems→ Information systems applications→ Enterprise information systems

KEYWORDS

Strategy; innovations; strategic stability; information support; progressive campaigns; agricultural holding; agricultural industry.

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1. INTRODUCTION

In today's economic conditions, there is no development strategy that is suitable for all organizations. Any enterprise, even in the sphere of one industry, is unique; therefore, it is necessary to apply an individual innovative approach to the formation of its strategy, which depends on the company's potential and a variety of external factors.

The novelty of the work is the application of balanced scorecard methods as an element of strategic analysis for managing an agricultural organization [21,29].

The practical significance of the work is that the results of the work are based on a strategic analysis of the current agricultural company and can be used by it in practice.

Now, the market for agricultural products is highly differentiated in different regions and municipalities of the country. In other words, the composition and ratio of factors affecting the development of this market change significantly in different territories. It should be noted that the assessment of the market capacity, its size and trends to decrease or increase is of particular importance in the implementation of strategic analysis of the market environment for agricultural enterprises. At the same time, changes in the size of the container and its quality parameters on the market occur continuously. In recent years, the population of our country has been characterized by relatively low consumption of protein and high-calorie foods, which is due to their relatively high prices and low real income.

This situation indicates a high level of unsatisfied needs and a possible potential increase in the market capacity for these types of goods with an increase in household income. In other words, agricultural enterprises engaged in meat and fish farming should carefully monitor these factors, which will allow them to make more accurate calculations when planning production volumes [4].

An important area of strategic analysis in the market environment of agricultural enterprises is the assessment of strategic guidelines for the development of agricultural and food markets in the study area. This theory assumes that in a particular territory it is necessary to produce those goods that cost them relatively cheap, and import those whose production outside the territory requires less cost than inside. However, the complexity of conditions, relationships and factors at the present stage of society's development also complicates the choice of strategic guidelines. Go to a specific company to specify the problem.

The methodology itself was considered on the example of the agricultural holding "Agroyarsk", whose history began in 2010, when the agricultural enteprise "Mayak" became a part of the agricultural holding. Three years of experience proved to be quite successful and it was decided to include in the agricultural holding company bordering the lands of the SEC "Shilinskoe". Currently, the agricultural holding "Agroyarsk" includes two separate subdivisions:

- “Ilinskoe”;
- “Mayak”

2. MATERIALS AND METHODS

Innovations in agriculture are not only new technologies, new equipment, new plant varieties, new animal breeds, new fertilizers and plant and animal protection products, new methods of prevention and treatment of animals, new forms of organization, financing and crediting of production, as well as new approaches to strategic planning.

As practice has shown, many agricultural enterprises that implement scientific achievements in their production process achieve a significant increase in production and financial indicators. However, all this requires huge costs and does not always give the expected effect, if you do not see the direction of development as a whole.

The proposed methodology of the balanced scorecard (abbreviated BSC) just allows you to translate the strategy to the level of the company's operating activities.

The correct application of the methodology allows you to solve the following tasks using the BSC:

- setting specific parameters of strategic goals: strategic indicators with their numerical values-KPI(key performance indicators), cause-and-effect relationships between goals, relationships between strategic indicators, deadlines for achieving strategic goals;

- distribution of responsibility for achieving strategic goals among the company's officials;

- identification of tools for achieving strategic goals.

This makes it possible to allocate funds and labor in the most efficient way.

The agricultural holding "Agroyarsk" is an enterprise that combines diverse agricultural assets based on a full technological and production cycle, including production of agricultural products (milk, meat, grain), its processing (dairy products, meat semi-finished products, flour and bakery products), storage and marketing.

The history of the agricultural complex (AIC) “Agroyarsk” began in 2010, when the agricultural enterprise - CJSC “Argofirma “Mayak” became a part of the agricultural holding.

Only money, labor, and management can limit the size of agribusiness today. At the same time, the most important resource is highly qualified labor - both machine operators and operators in livestock and crop production, and managers, especially senior managers.

The main competitive advantage of the AIC "Agroyarsk" is effective management, making the developed strategy of agricultural holdings development with the use of five basic resources.

The basis of agro-holding is not so much concentrated ownership of agricultural assets as effective management of them [5,6].

Technological factors affecting the operations of the JSC «Mayak» include:

1. the maturity of the technology directly affects the inability to create new trends.

2. the potential of innovation provides an opportunity to make qualitative changes in the production process.

3. the degree of technology use makes it possible to correctly and efficiently use new and existing technologies in the production of new products based on existing ones.

The rating of the AIC “Agroyarsk” competitors is shown in table 1. Two largest competitor companies according to the director were selected and a comparative analysis of the selected indicators was conducted.

Table 1 Competitive success factors and their assessment in the AIC "Agroyarsk"

Name	Factor weight	AIC "Agroyarsk"		JSC “Delta-D”		JSC “Dream”	
		Estimate	Total	Estimate	Total	Estimate	Total
Price	0.2	5	1	4	0.8	4	0.8
Compliance with quality standards	0.2	4	0.8	4	0.8	5	1
The range of products and services and its updating	0.1	5	0.5	3	0.3	5	0.5
The granting of delays on payment	0.1	4	0.4	4	0.4	5	0.5
Meeting delivery deadlines	0.1	5	0.5	4	0,4	5	0.5
Market reputation	0.1	5	0.5	2	0.2	5	0.5
Innovations in the production process (new technologies, new products)	0.1	5	0.5	3	0.3	5	0.5
Coverage territories of the dealer network	0.1	5	0.5	5	0.5	5	0.5
Total	1.0	-	4.7	-	3.7	-	4.8

So the agricultural holding "Agroyarsk" is an enterprise that combines diverse agricultural assets on the basis of a full technological and production cycle, including: production of agricultural products (milk, meat, grain [14-16,18], its processing (dairy products, meat semi-finished products, flour and bakery products [2,27,28]), storage and marketing.

3. RESULTS

According to the results of the analysis activities, it is necessary to prepare a strategic map for the JSC «Mayak». The next step is to apply the developed system in practice, for this purpose, we will calculate a strategic map for the system of balanced indicators by period, considering the dynamics of 2019 [8].

The strategic map for the system of balanced indicators for the years of implementation is presented in table 2.

Table 2 Element of the strategic map of the balanced scorecard by period

Purpose	Indicators	2019	2021	2023
Finance, thousand rubles				
Increasing profit	Increasing profit	-102971	12000	17280
Increasing the company's turnover	sales volume of products and services produced	439755	633247	911876
Decreasing expenses of the company	share of all expenses in the company's turnover	1.10	0.9	0.9
Clients, thousand rubles				
Increasing the number of clients	total number of new clients found	10	15	20
	conclusion of cooperation agreements	8	15	20
Increasing customer satisfaction	average delay in project completion dates	5	0	0
	average completion time	10	6	5
	total number of modifications	5	4	2
Increasing revenue from the client	the ratio of sales volume to the number of customers	12508	14543	19253
The expansion of services and products sold	number of inventory items	12	15	17

4. DISCUSSION

Thus, describing the strategic map for the system of balanced indicators by period, we can note the following:

1. Finance: the planned annual increase in revenue by 20% to the level of the previous year starting from 2020 will lead to the fact

that in the period under review, revenue will grow by 472120.968 thousand rubles, and profit will be 17280 thousand rubles. At the same time, if in 2019 the company has losses of -102.971 thousand rubles, then by 2023 the profit, which should certainly indicate an increase in the efficiency of the enterprise. At the same time, the share of expenses in revenue will decrease to 0.9, which is also a positive point [1,7];

2. Clients: to achieve the goals of increasing profits, it is planned to increase the number of new clients (contractors) of the company by 2 times to 20 units. As well as to direct the company's efforts to increase customer loyalty by reducing to 0 the number of delay days in project completion, reducing the average time for completion from 10 to 5 days, and corrupting the total number of improvements from 5 to 2 units for the project [34,35]. These events will help to increase customer loyalty, which will positively contribute to the growth of revenue and profit of the enterprise. At the same time, the ratio of sales to the number of customers will grow, and the number of inventory items will grow from 12 to 17;

3. Business processes: to improve the quality of customer service, it is necessary to improve the company's business processes [19,20,23]. For example, it is planned to reduce the ratio of actual costs to regulatory costs from 2.5 to 1, so the terms of work on projects must be in strict accordance with the standards approved at the enterprise. In addition, unproductive project time needs to be reduced from 0.8 to 0.3 hours per day. Next, it is planned to eliminate unproductive time expenditures. Improving the sales process will lead to 100% sales fulfillment by 2023, and the creation of a new corporate training center will lead to the percentage of qualified employees who meet the requirements also rising to 100% by 2023;

4. Training and development: to improve the company's business processes, it is necessary to attract young people to the enterprise, who are characterized by high productivity of work performed, better training in modern information technologies and sales [3,9,23]. It is planned to increase the share of young professionals from 50 to 80 %. However, you should not completely abandon the work of highly qualified specialists. The change of specialists should take place as gently as possible; this requires a consistent transfer of knowledge and experience, which is possible with an increase in the company's staff reserve – according to the plan from 4 to 10 people [10]. By 2023, it will grow to 100 %: the percentage of qualifications of staff meets the requirements and the percentage of satisfied customers, and the selection and staff. The share of positions with job descriptions and competency models will increase to 70 %, and the share of positions with a motivation system and KPI will increase to 100%. In other words, the company's staff will be fully motivated for the result, which is a positive point [13, 31-33].

Consider the program of staff potential development in the JSC «Mayak».

Work programs with the AIC "Agroyarsk" reserve are considered as one of the sources of training for managers to fill key positions in the upper middle management level. Only a small proportion of the initially selected candidates during their time in the reserve seek appointment to one of them. The program is designed to maintain a very high level of competition among managers.

One of the possible options for training future managers is the reserve-training program "Future Manager", designed for 1-2 years of training.

- general management: principles of organization building, strategic management, content of the management process, leadership, motivation [25,26]. Learning the art of management increases the success of leadership functions by about 20 %;
- team management: motivation of work, assessment of subordinates' performance, development of the leader's leadership potential, increasing the level of cooperation between the manager and his subordinates;
- training of business communication skills: interpersonal communication, meetings, effective presentation, conflict management [24,30];
- individual management resources: providing managers with knowledge and skills to effectively organize their own work;
- career planning: awareness of yourself, your needs, goals and priorities, conscious management of your own professional development, setting goals for the future with the development of a specific plan to achieve them [4,12].

Training of reservists for positions is planned to be conducted on - the-job under the "Management" program. Classes are held mainly on weekends. The entire program takes two semesters and consists of the following modules:

- management;
- financial management;
- quality management;
- project management;
- technologies for effective personnel management;
- development of management skills;
- control mechanism;
- innovation management;
- business process management.

5. CONCLUSION

Thus, we note that in the JSC «Mayak» stages on the reserve include the following: identification of key positions that have a particular impact on the organization's activities and their replacement plan, determining the characteristics of future managers, selecting candidates for the leadership reserve, determining development needs, preparing development plans, implementing plans for training successors, evaluating development progress, and appointing.

The final step is the practical application of the developed system. For this purpose, a strategic map of the balanced scorecard system for the periods is calculated, considering the dynamics of 2019-2020. The programs of work with the AIC "Agroyarsk" reserve are considered as one of the sources of training for managers to fill key positions in the upper middle management level.

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